

MODULE 1

INDUSTRY OVERVIEW

CHAPTER 1

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How Savers Become Investors & the Role of the Financial System

- People work to earn money for living expenses and to support dependents.
- When individuals spend less than they earn, they generate savings.
- Savings can be invested to earn a return, turning savers into investors.
- Example: A Canadian entrepreneur needs money to start a business.
- ✓ She looks for savers willing to invest in her new venture.
- ✓ After weeks of searching, she finds a friend who believes he will earn more back than he lends.

The process of finding investors manually is slow and inefficient.

A financial system exists to make this process faster and easier.

- It connects people who need money (borrowers) with people who have savings (investors).
- This system enables businesses, governments, and individuals to obtain funding efficiently.